Replication Files

Hochmuth, Merkl, and Stüber, *Incomplete Insurance and Open-Economy Spillovers of Labor Market Reforms*.

Model and Descriptive Figures

Extract the ZIP to a short, writable folder. The model needs MATLAB R2026a, Dynare 5.4, and Optimization Toolbox. In MATLAB, run:

```
addpath('C:\dynare-5.4\matlab') % change to your Dynare path
cd('C:\EER\Model')          % change to your extracted folder
MAIN_REPLICATION
```

This produces the model figures and tables in `Model/paper_outputs/Full_Runs/<run-id>/`. It also computes Figure 7 on a longer horizon. Allow about 90 minutes. To resume an interrupted run, use `MAIN_REPLICATION('printed_run_id')`.

For the public-data descriptive figures, run:

```
cd('C:\EER\Descriptives') % change to your extracted folder
MAIN_DESCRIPTIVES
```

Outputs go to `Descriptives/Generated/`. Figure 4 uses the included 1991–2021 OECD current-account and IMF savings inputs. Figure 1 is a supplied institutional schematic. `Descriptives/ReadMe.md` identifies the other inputs.

Empirical Tables: Restricted Data

The five Stata do-files need licensed AWFP/IAB establishment data in an authorized FDZ environment. Request access through the FDZ of the BA at the IAB: https://fdz.iab.de/en/data-access/on-site-use/. The raw extract, prepared panel, `controlsUpdate.dta`, and log files are **not included** due to restrictions. We use the following version of the IAB Establishment Panel: `IAB Establishment Panel 9317 v1`. The `controlsUpdate.dta` file was merged during panel preparation.

Use Stata 16 with `reghdfe`, `ftools`, and `estout`. Set the path globals used by each do-file (`$awfp`, `$bp9317`, `$betnr_idnum`, `$data`, `$temp`, and `$log`) to the authorized data and output folders; set `$date` for log names. With licensed inputs, `Empirics/Upstream_Preparation/Datenaufbereitung.do` combines AWFP and IAB Establishment Panel files with annual controls and saves `$temp/AWFP_a_93_14_final_reg.dta`.

The table scripts read that panel:

Paper table	Do-file
Table 1	`Empirics/table_1_estim_results/Regressionen_noREER.do`
Table 7	`Empirics/table_8_rolling_windows/Regressionen_windows_p25.do`
Table 8	`Empirics/table_7_china_controls/Regressionen_tb_china.do` and `Regressionen_log_exports_to_china.do`, with the Table 1 baseline

File Inventory (117 Files)

Each name is listed under its ZIP folder. [plots/data], [Stata], [model], [reference], and [guide] state purpose.

Formats: .m MATLAB; .mod Dynare; .do Stata; .csv/.xlsx/.mat data; .eps/.png/.pdf figures; .tex tables; .md documentation.

Descriptives/00000_Baseline_June22_repagent [plots/data]
- data_intro.m

Descriptives [plots/data]
- MAIN_DESCRIPTIVES.m
- ReadMe.md

Descriptives/data [plots/data]
- Bundesbank_Sector_And_Country_Accounts.xlsx
- ca_savings_source.xlsx
- differentaccounts.mat
- figure4_oecd_imf_1991_2021.csv

Descriptives/descriptive_figures [plots/data]
- AustriaFranceGermany_version2_BH.m
- create_figure.m
- data_intro_update.m
- figure_ca_euro.m
- figure_intro_precsaving.m

Descriptives [plots/data]
- figure_ca_savings.m
- get_results_paths.m

Empirics/Upstream_Preparation [Stata]
- Datenaufbereitung.do

Empirics/table_1_estim_results [Stata]
- Regressionen_noREER.do

Empirics/table_7_china_controls [Stata]
- Regressionen_log_exports_to_china.do
- Regressionen_tb_china.do

Empirics/table_8_rolling_windows [Stata]
- Regressionen_windows_p25.do

Model [model]
- Eval_SS_june25.m

Model/Inputs/complete_insurance [model]
- Param_init.mat
- Param_init.mod
- SS_init.mat
- SS_init.mod

Model [model]
- MAIN_REPLICATION.m
- Param_init.mod
- SS_init.mod
- Simul_Hartz_4_v2.mod

Model/complete_insurance_backend [model]
- RA_initss.mod
- Rep_agent_corrected.mod
- model_equations_general_RA_corrected.m
- model_equations_linkages_TNT_RA_corrected.m

Model [model]
- empirical_data.csv
- fiscal_rule.m

Model/functions [model]
- audit_repaired_accounting.m
- calculate_welfare.m
- cohort_asset_accounting.m
- collect_scenario_results.m
- complete_calibration_parameters.m
- configuration_hash.m
- decompose_ca_path.m
- generate_paper_baseline_outputs.m
- make_mod_files.m
- make_mod_param_files.m
- model_parameters.m
- paper_bundle_sha256.m
- paper_scenarios.m
- paper_zero_line.m
- parameter_checks.m
- plot_bargaining_comparison.m
- plot_wage_moderation.m
- recruiting_transition_moments.m
- recruiting_validation_tolerances.m
- representative_agent_savings_accounts.m
- run_baseline.m
- run_complete_insurance_backend.m
- run_complete_insurance_scenario.m
- run_paper_outputs.m
- run_paper_scenarios.m
- run_scenario.m
- save_initialization_snapshot.m
- save_transition_snapshot.m
- savings_accounts.m
- scenario_checks.m
- scenario_savings_accounts.m
- sector_response_metrics.m
- source_fingerprint.m
- steadySolver_v2.m
- summarize_investment_tnt_run.m

Model/functions (continued)
- validate_baseline_results.m
- validate_zero_nfa_anchor.m
- workflow_paths.m
- write_bargaining_diagnostics.m
- write_current_calibration_exhibit.m
- write_extended_baseline_outputs.m
- write_measurement_outputs.m
- write_paper_calibration_tables.m
- write_paper_cev_table.m
- write_paper_long_run_table.m
- write_paper_outputs.m
- write_scenario_results.m

Model [model]
- initvals_ss.m
- model_equations_general_noCPI.m
- model_equations_linkages_TNT.m
- newss.mod
- preHartz_init.mod
- var_params.m

ZIP root [guide]
- ReadMe.md
- ReadMe.pdf

Reference_Exhibits [reference]
- Figure_01_Hartz_IV_Benefits.pdf
- Figure_02_Unemployment_NFA_Trade.eps
- Figure_03_Current_Account_ULC.eps
- Figure_04_Current_Account_Savings.eps
- Figure_05_Labor_Costs.eps
- Figure_06_Domestic_Labor_Market.png
- Figure_07_Savings_Production.eps
- Figure_08_Foreign_Economy.eps
- Figure_09_Fiscal_Space.eps
- Figure_10_UI_Vs_Wage_Moderation.eps
- Figure_11_Austria_France_Germany.eps
- Figure_12_Sector_Net_Savings.eps
- Figure_13_Current_Account_Groups.eps
- Figure_OA1_Insurance.eps
- Figure_OA2_Bargaining.png
- Figure_OA3_Entitlement.png
- Figure_OA4_Separation.png
- Figure_OA5_Asymmetric_UI.png
- Figure_OA6_Labor_Tax.png

Reference_Exhibits/Tables [reference]
- Table_11_Asymmetric_UI_Long_Run.tex
- Table_12_Labor_Tax_CEV.tex
- Table_13_Separation_Rate_Spillovers.tex
- Table_2_Baseline_Model_Parameters.tex
- Table_3_Calibration_Targets.tex
- Table_4a_Steady_State_Reform_Effects.tex
- Table_5_Model_Contributions.tex
- Table_6_CEV_Home_Foreign.tex
- Table_9_Bargaining_Power_Robustness.tex